

## DBS Group

# 2Q26: Guidance raised, wealth momentum intact. Raise PO to S\$80

Reiterate Rating: BUY | PO: 80.00 SGD | Price: 73.55 SGD

## 2Q26 – Strong earnings beat driven by wealth, fees

DBS reported a strong 2Q26 result, with net profit of S\$3.1bn (+5% QoQ, +9% YoY), beating our/consensus estimates. The beat was broad-based, driven by stronger non-interest income, healthy loan growth and lower-than-expected provisions. While NIM declined 2bp QoQ to 1.87%, this was broadly in line with expectations and more than offset by strong wealth management activity, record treasury customer sales and continued asset quality resilience. Fee income increased 25% YoY, supported by wealth fees growth of 42% YoY, while wealth AUM reached a record S\$516bn.

### Guidance raised; scope for further implied upside if rates surprise positively:

Management raised FY26 commercial book non-interest income growth guidance to mid-teens (from HSD) and reiterated that FY26 total income should exceed FY25 levels (vs stable) despite the lower-rate backdrop, with stable NII YoY (vs. slight decline). Guidance is based on management's assumption of stable policy rates and range-bound SORA. Our house view remains for three Fed rate hikes this year, which could imply upside to current earnings assumptions should SORA inch higher.

**Reiterate Buy – raise PO to S\$80/US\$249.85** (from S\$75/US\$232) - as we increase FY26E–28E EPS for DBS by 8% on avg. and incorporate higher sustainable ROE assumptions (18.5% vs 17% prior) into our Gordon Growth valuation framework. DBS has continued to demonstrate strong execution across wealth management, loan growth and customer-driven non-interest income.

## No real misses this quarter, overall beat

**Hits – Strong loan growth, wealth momentum and AQ resilience** – 1) Strong loan growth: Loans grew 3.5% QoQ, reflecting healthy demand across corporate and institutional segments. 2) Wealth momentum: Fee income rose 25% YoY, supported by continued wealth management strength and customer activity. 3) AQ resilience: NPA ratio remained stable at ~1.0%, and coverage buffers remain very comfortable.

| Estimates (Dec) (\$S)         | 2024A  | 2025A  | 2026E  | 2027E  | 2028E  |
|-------------------------------|--------|--------|--------|--------|--------|
| Net Income (Adjusted - mn)    | 11,344 | 10,992 | 12,068 | 13,093 | 13,839 |
| EPS                           | 3.99   | 3.86   | 4.27   | 4.65   | 4.93   |
| EPS Change (YoY)              | 10.9%  | -3.3%  | 10.6%  | 9.1%   | 6.0%   |
| Consensus EPS (Visible Alpha) |        |        | 3.89   | 4.19   | 4.48   |
| Dividend / Share              | 2.22   | 3.06   | 3.30   | 3.54   | 3.18   |
| ADR EPS (US\$)                | 11.94  | 11.80  | 13.32  | 14.54  | 15.41  |
| ADR Dividend / Share (US\$)   | 6.65   | 9.36   | 10.31  | 11.06  | 9.93   |
| <b>Valuation (Dec)</b>        |        |        |        |        |        |
| P/E                           | 18.4x  | 19.1x  | 17.2x  | 15.8x  | 14.9x  |
| Dividend Yield                | 3.02%  | 4.16%  | 4.49%  | 4.81%  | 4.32%  |
| Pre-exceptional PE            | 18.43x | 19.07x | 17.24x | 15.80x | 14.91x |
| Price / Book                  | 3.04x  | 3.04x  | 2.97x  | 2.90x  | 2.71x  |
| RoE / PB                      | 5.69x  | 5.25x  | 5.83x  | 6.34x  | 6.83x  |
| Price / Pre-Provision Profit  | 15.60x | 15.36x | 13.97x | 12.83x | 12.10x |

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**Refer to important disclosures on page 11 to 14. Analyst Certification on page 9. Price Objective Basis/Risk on page 9.**

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Timestamp: 06 August 2026 04:31AM EDT

06 August 2026

### Equity

#### Key Changes

| (\$S)      | Previous | Current |
|------------|----------|---------|
| Price Obj. | 75.00    | 80.00   |
| 2026E EPS  | 4.00     | 4.27    |
| 2027E EPS  | 4.27     | 4.65    |
| 2028E EPS  | 4.51     | 4.93    |

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### Stock Data

|                          |                         |
|--------------------------|-------------------------|
| Price (Common / ADR)     | 73.55 SGD / 230.18 USD  |
| Price Objective          | 80.00 SGD / 249.85 USD  |
| Date Established         | 6-Aug-2026 / 6-Aug-2026 |
| Investment Opinion       | A-1-7 / B-1-7           |
| 52-Week Range            | 48.08 SGD-75.00 SGD     |
| Market Value (mn)        | 163,314 USD             |
| Market Value (mn)        | 209,165 SGD             |
| Shares Outstanding (mn)  | 2,843.8 / 711.0         |
| Average Daily Value (mn) | 241.23 USD              |
| Free Float               | 71.6%                   |
| BofA Ticker / Exchange   | DBSDF / SES             |
| BofA Ticker / Exchange   | DBSDY / OTU             |
| Bloomberg / Reuters      | DBS SP / DBSM.SI        |
| ROE (2026E)              | 17.3%                   |

DBS -DBS Group Holdings

NIMs: net interest margin

Non-II: non-interest income

LDR: loan deposit ratio

HIBOR: Hong Kong interbank offered rate

AQ: asset quality

CASA: current and savings account

GP: general provisions

SP: specific provisions

IB: investment banking

CET1: common equity Tier-1

AT1: Additional Tier-1

# iQprofile<sup>SM</sup> DBS Group

## Key Income Statement Data (Dec)

(\$M Millions)

|                                        | 2024A    | 2025A    | 2026E    | 2027E    | 2028E    |
|----------------------------------------|----------|----------|----------|----------|----------|
| <b>Net Interest Income</b>             | 14,424   | 14,500   | 14,731   | 15,651   | 16,204   |
| Net Fee Income                         | 4,168    | 4,898    | 5,731    | 6,418    | 7,189    |
| Securities Gains / (Losses)            | 3,381    | 3,361    | 3,700    | 3,700    | 3,700    |
| Other Income                           | 161.00   | 41.00    | 150.00   | 150.00   | 150.00   |
| <b>Total Non-Interest Income</b>       | 7,710    | 8,300    | 9,581    | 10,268   | 11,039   |
| Total Operating Income                 | 22,134   | 22,800   | 24,312   | 25,920   | 27,243   |
| Operating Expenses                     | (8,895)  | (9,249)  | (9,612)  | (9,997)  | (10,399) |
| <b>Pre-Provision Profit</b>            | 13,239   | 13,551   | 14,700   | 15,923   | 16,844   |
| Provisions Expense                     | (622.00) | (791.00) | (704.84) | (803.62) | (846.60) |
| <b>Operating Profit</b>                | 12,617   | 12,760   | 13,995   | 15,119   | 15,997   |
| Non-Operating Income                   | 140.00   | 77.00    | 200.00   | 200.00   | 200.00   |
| <b>Pre-Tax Income</b>                  | 13,007   | 13,099   | 14,455   | 15,589   | 16,477   |
| Net Income to Comm S/Hold.             | 11,321   | 10,969   | 12,068   | 13,093   | 13,839   |
| <b>Adjusted Net Income (Operating)</b> | 11,344   | 10,992   | 12,068   | 13,093   | 13,839   |

## Key Balance Sheet Data

|                                    |         |         |         |           |           |
|------------------------------------|---------|---------|---------|-----------|-----------|
| Total Assets                       | 827,219 | 897,488 | 955,625 | 1,001,124 | 1,051,836 |
| Average Interest Earning Assets    | 676,148 | 721,393 | 782,640 | 830,871   | 866,734   |
| <b>Weighted Risk Assets</b>        | 352,932 | 366,311 | 391,953 | 407,631   | 423,936   |
| Total Gross Customer Loans         | 436,684 | 450,916 | 488,869 | 515,657   | 542,594   |
| Total Customer Deposits            | 561,730 | 610,023 | 655,775 | 688,563   | 722,992   |
| <b>Tier 1 Capital</b>              | 62,386  | 62,195  | 64,390  | 66,253    | 71,172    |
| Tangible Equity                    | 60,022  | 62,553  | 63,948  | 65,747    | 70,602    |
| <b>Common Shareholders' Equity</b> | 68,786  | 68,867  | 70,325  | 72,188    | 77,107    |

## Key Metrics

|                                               |        |        |        |        |        |
|-----------------------------------------------|--------|--------|--------|--------|--------|
| Net Interest Margin                           | 2.13%  | 2.01%  | 1.88%  | 1.88%  | 1.87%  |
| <b>Tier 1 Ratio</b>                           | 17.7%  | 17.0%  | 16.4%  | 16.3%  | 16.8%  |
| Effective Tax Rate                            | 12.3%  | 15.8%  | 16.5%  | 16.0%  | 16.0%  |
| Loan / Assets Ratio                           | 52.8%  | 50.2%  | 51.2%  | 51.5%  | 51.6%  |
| <b>Loan / Deposit Ratio</b>                   | 77.7%  | 73.9%  | 74.5%  | 74.9%  | 75.0%  |
| Oper Leverage (Inc Growth - Cost Growth)      | 0.5%   | -1.0%  | 2.7%   | 2.6%   | 1.1%   |
| Gearing (Assets / Equity)                     | 12.0x  | 13.0x  | 13.6x  | 13.9x  | 13.6x  |
| Tangible Common Equity / Assets               | 7.3%   | 7.0%   | 6.7%   | 6.6%   | 6.7%   |
| Tangible Common Equity / WRAs                 | 17.0%  | 17.1%  | 16.3%  | 16.1%  | 16.7%  |
| Revenue Growth                                | 10.9%  | 3.0%   | 6.6%   | 6.6%   | 5.1%   |
| Operating Expense Growth                      | 10.4%  | 4.0%   | 3.9%   | 4.0%   | 4.0%   |
| Provisions Expense Growth                     | 5.4%   | 27.2%  | -10.9% | 14.0%  | 5.3%   |
| Operating Revenue / Average Assets            | 2.8%   | 2.6%   | 2.6%   | 2.6%   | 2.7%   |
| Operating Expenses / Average Assets           | 1.1%   | 1.1%   | 1.0%   | 1.0%   | 1.0%   |
| <b>Pre-Provision ROA</b>                      | 1.7%   | 1.6%   | 1.6%   | 1.6%   | 1.6%   |
| ROA                                           | 1.4%   | 1.3%   | 1.3%   | 1.3%   | 1.3%   |
| <b>Pre-Provision ROE</b>                      | 21.0%  | 20.0%  | 21.1%  | 22.3%  | 22.6%  |
| ROE                                           | 17.3%  | 15.9%  | 17.3%  | 18.4%  | 18.5%  |
| RoTE                                          | 18.9%  | 17.6%  | 18.9%  | 19.9%  | 19.6%  |
| RoWRAs                                        | 3.2%   | 3.0%   | 3.1%   | 3.2%   | 3.3%   |
| Dividend Payout Ratio                         | 55.6%  | 79.0%  | 77.1%  | 75.8%  | NA     |
| <b>Efficiency Ratio</b>                       | 47.4%  | 47.6%  | 46.6%  | 45.0%  | 44.2%  |
| Headline Cost/Income Ratio                    | 40.2%  | 40.6%  | 39.5%  | 38.6%  | 38.2%  |
| <b>Total Non-Interest Inc / Operating Inc</b> | 35%    | 36%    | 39%    | 40%    | 41%    |
| Market-Related Revenue / Total Revenues       | 15.3%  | 14.7%  | 15.2%  | 14.3%  | 13.6%  |
| Provisioning Burden as % of PPP               | 4.7%   | 5.8%   | 4.8%   | 5.0%   | 5.0%   |
| NPLs plus Foreclosed Real Estate / Loans      | 1.2%   | 1.1%   | 1.0%   | 1.0%   | 1.0%   |
| <b>Loan Loss Reserves / NPLs</b>              | 120.9% | 121.9% | 123.7% | 120.2% | 116.9% |
| Loan Loss Reserves / Total Loans              | 1.4%   | 1.3%   | 1.2%   | 1.2%   | 1.1%   |
| Provisions Expense / Average Loans            | 0.1%   | 0.2%   | 0.2%   | 0.2%   | 0.2%   |

## Other Metrics

|                                 |       |    |    |    |    |
|---------------------------------|-------|----|----|----|----|
| Income / Employee               | 0.535 | NA | NA | NA | NA |
| (Operating Expenses) / Employee | 0.215 | NA | NA | NA | NA |
| Pre-Provision Profit / Employee | 0.320 | NA | NA | NA | NA |
| Net Profit / Employee           | 0.274 | NA | NA | NA | NA |

## Company Sector

Banks-Multinational/Universal

## Company Description

DBS Group is Singapore's largest bank, owned 30% by the Singapore government's Temasek Holdings unit. DBS purchased Dao Heng Bank in HK in 2001. In Singapore, it has traditionally been strong in corporate and consumer lending. DBS also has a growing presence in Greater China, Southeast Asia and South Asia. DBS has over 280 branches across 18 markets in Asia.

## Investment Rationale

We rate DBS Buy. DBS remains a best-in-class franchise, and we believe there is room for further re-rating from here with wealth management growth enabling structurally higher ROEs, and best-in-class profitability vs global/regional peers.

## Stock Data

|                     |      |
|---------------------|------|
| Shares / ADR        | 4.00 |
| Price to Book Value | 3.0x |

## Key Changes

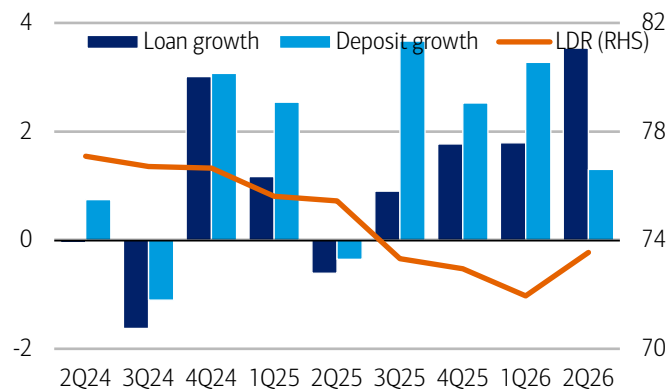
| (US\$)     | Previous | Current |
|------------|----------|---------|
| Price Obj. | 232.00   | 249.85  |
| 2026E EPS  | 12.49    | 13.32   |
| 2027E EPS  | 13.32    | 14.54   |
| 2028E EPS  | 14.08    | 15.41   |



# Key charts

## Exhibit 1: Loan vs. deposit growth (QoQ%)

Loan growth (3.5% QoQ) outpaced deposit growth (1.3%)

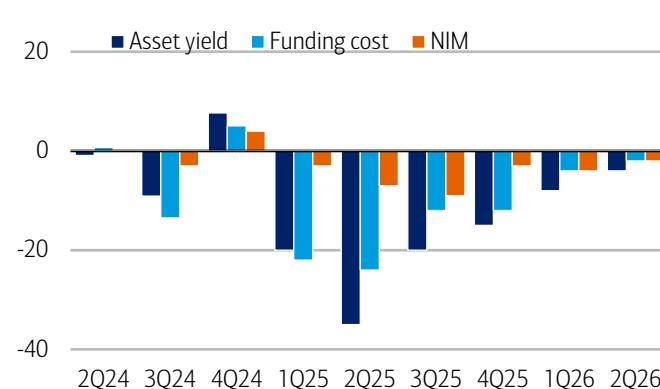


Source: BofA Global Research, company reports

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## Exhibit 2: QoQ changes in calc. asset yield, funding cost, NIM (bp)

NIM contracted 2 bp as SORA stabilizes



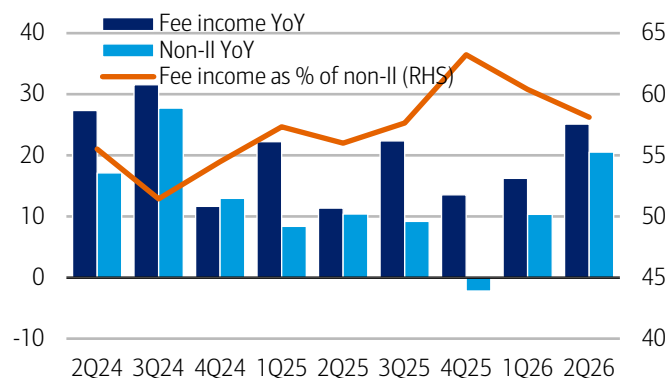
Source: BofA Global Research, company reports

Note: Asset yield and funding cost disclosed semi-annually, quarterly changes estimated

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## Exhibit 3: Fee income, non-II growth (YoY%)

Fee income grows by 25% YoY, driven by strong wealth fees

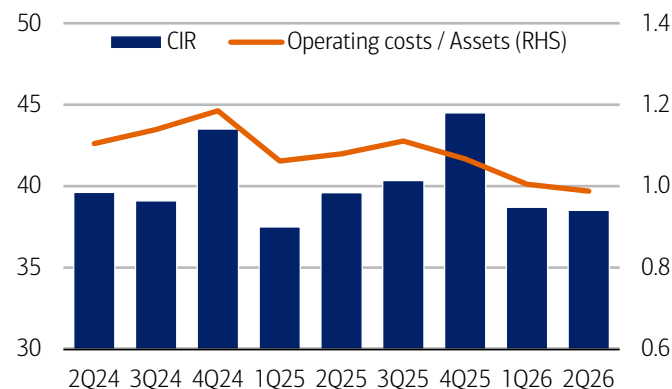


Source: BofA Global Research, company reports

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## Exhibit 4: Cost efficiency ratios (%)

CIR well controlled at 38.5%

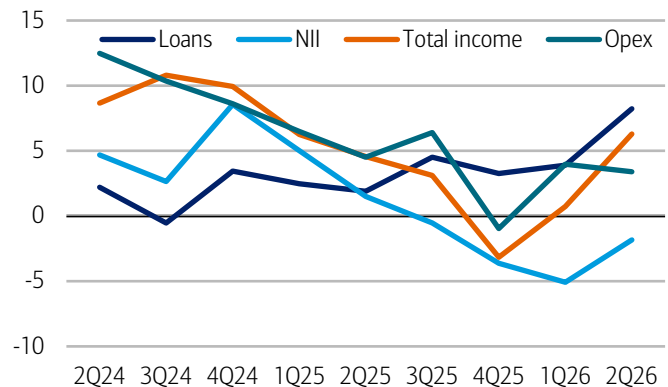


Source: BofA Global Research, company reports

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## Exhibit 5: Income vs opex growth (YoY%)

+ve operating jaws as total income growth outpaces opex growth

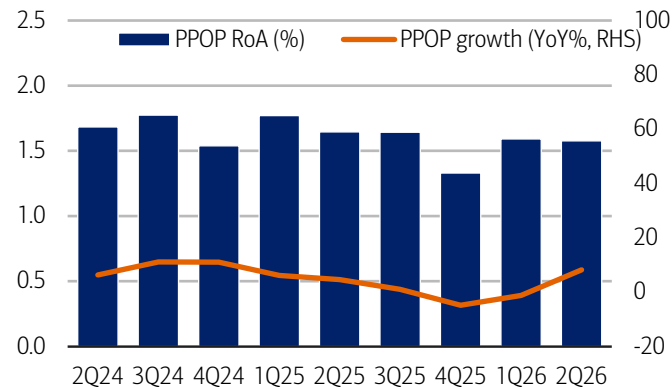


Source: BofA Global Research, company reports

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## Exhibit 6: PPOP RoA, PPOP YoY growth (%)

PPOP grows by 8.2% YoY

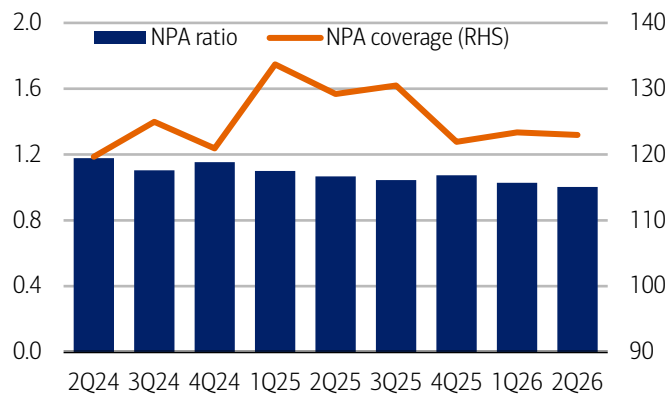


Source: BofA Global Research, company reports

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**Exhibit 7: Asset quality ratios (%)**

NPA ratio stable at 1.0%, coverage adequate at 123%

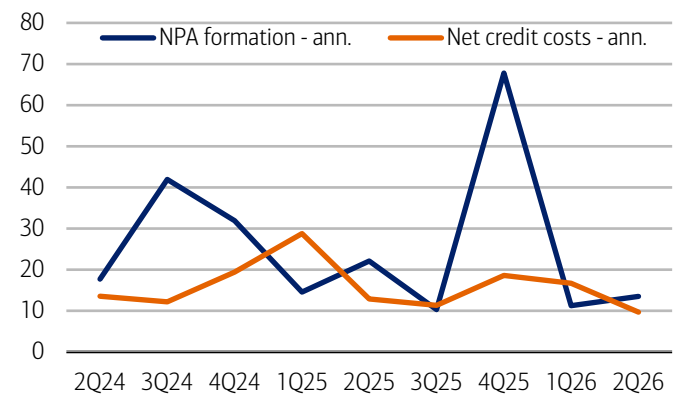


Source: BofA Global Research, company reports

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**Exhibit 8: NPA formation, net credit costs (bp of loans)**

Credit costs fell to 10 bp

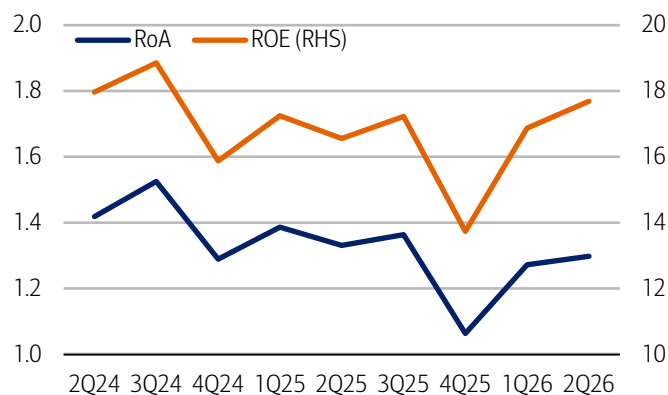


Source: BofA Global Research, company reports

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**Exhibit 9: Profitability ratios (%)**

ROE rises to 17.7%

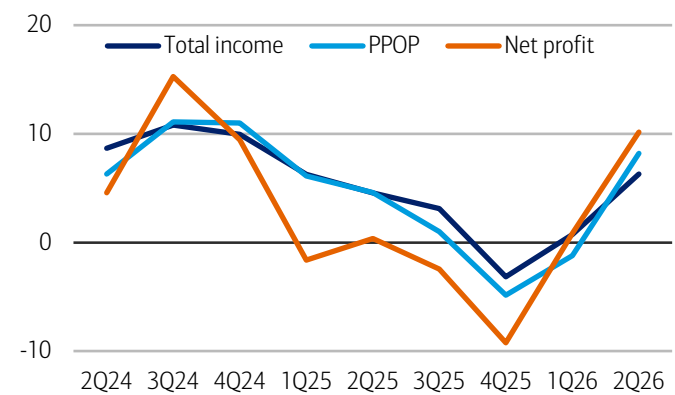


Source: BofA Global Research, company reports

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**Exhibit 10: Total income, PPOP, net profit YoY growth (%)**

Net profit grows at 10.2% YoY

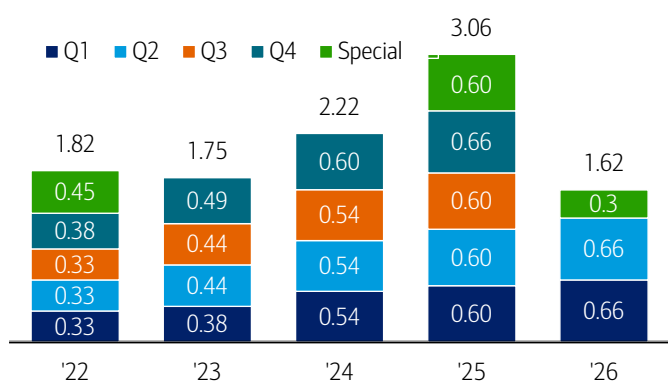


Source: BofA Global Research, company reports

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**Exhibit 11: Dividend per share (\$)**

66c + 15c dividends announced

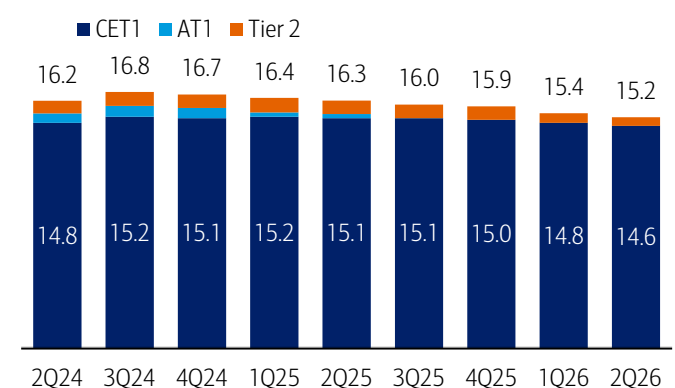


Source: BofA Global Research, company reports

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**Exhibit 12: Capital adequacy ratios (%)**

CET1 remains strong at 14.6%



Source: BofA Global Research, company reports

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# Heat-map

## Exhibit 13: Key quarterly financial metrics

Summary of key earnings drivers

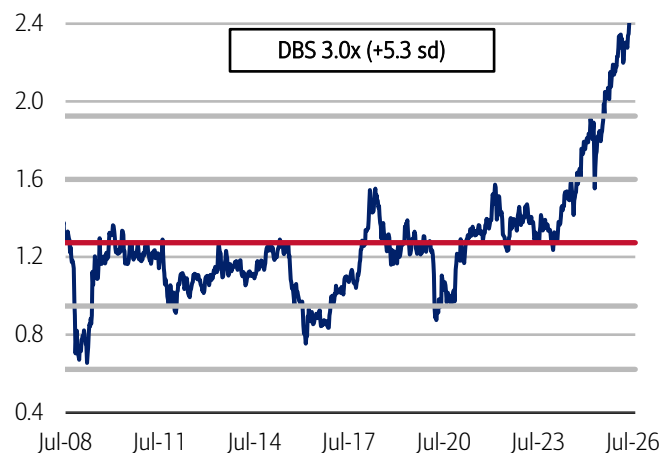
|                                 | 2023 | 3Q23 | 4Q23 | 1Q24 | 2Q24 | 3Q24  | 4Q24 | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 |
|---------------------------------|------|------|------|------|------|-------|------|------|------|------|------|------|------|
| <b>1. Loan growth</b>           |      |      |      |      |      |       |      |      |      |      |      |      |      |
| Group QoQ%                      | -0.3 | 1.1  | -0.9 | 2.1  | 0.0  | -1.6  | 3.0  | 1.2  | -0.6 | 0.9  | 1.8  | 1.8  | 3.5  |
| Group YoY%                      | -2.1 | -2.1 | 0.4  | 2.0  | 2.2  | -0.5  | 3.4  | 2.5  | 1.9  | 4.5  | 3.3  | 3.9  | 8.2  |
| Retail YoY%                     | -1.3 | -3.2 | 6.9  | 7.4  | 6.9  | 7.4   | 0.8  | 0.8  | 0.7  | 3.1  | 1.8  | 3.8  | 5.3  |
| Business YoY%                   | -2.5 | -3.2 | -2.2 | -0.3 | 0.3  | -2.0  | 4.6  | 3.3  | 2.4  | 5.1  | 3.9  | 3.9  | 9.5  |
| <b>2. Deposit growth</b>        |      |      |      |      |      |       |      |      |      |      |      |      |      |
| Group QoQ%                      | -1.7 | 2.2  | 0.7  | 2.3  | 0.7  | -1.1  | 3.1  | 2.5  | -0.3 | 3.9  | 2.3  | 3.3  | 1.3  |
| Group YoY%                      | -1.5 | -0.3 | 1.5  | 3.4  | 6.0  | 2.6   | 5.0  | 5.2  | 4.2  | 9.4  | 8.6  | 9.4  | 11.2 |
| LDR %                           | 80   | 79   | 78   | 78   | 77   | 77    | 77   | 76   | 75   | 73   | 73   | 72   | 74   |
| CASA %                          | 56   | 53   | 53   | 51   | 50   | 52    | 52   | 53   | 52   | 53   | 55   | 55   | 54   |
| <b>3. Net interest margins</b>  |      |      |      |      |      |       |      |      |      |      |      |      |      |
| Group NIMs                      | 2.16 | 2.19 | 2.13 | 2.14 | 2.14 | 2.11  | 2.15 | 2.12 | 2.05 | 1.96 | 1.93 | 1.89 | 1.87 |
| NIMs QoQ (bp)                   | 4    | 3    | -6   | 1    | 0    | -3    | 4    | -3   | -7   | -9   | -3   | -4   | -2   |
| <b>4. Revenue &amp; Costs</b>   |      |      |      |      |      |       |      |      |      |      |      |      |      |
| NII YoY%                        | 40   | 16   | 5    | 7    | 5    | 3     | 9    | 5    | 2    | -1   | -4   | -5   | -2   |
| Fee income YoY%                 | 7    | 9    | 31   | 23   | 27   | 32    | 12   | 22   | 11   | 22   | 14   | 16   | 25   |
| Non-II YoY%                     | 20   | 11   | 25   | 23   | 17   | 28    | 13   | 8    | 10   | 9    | -2   | 10   | 21   |
| Revenue YoY%                    | 33   | 14   | 10   | 13   | 9    | 11    | 10   | 6    | 5    | 3    | -3   | 1    | 6    |
| Opex YoY%                       | 16   | 12   | 12   | 10   | 12   | 10    | 9    | 6    | 5    | 6    | -1   | 4    | 3    |
| Cost-income ratio %             | 38   | 39   | 44   | 37   | 40   | 39    | 44   | 37   | 40   | 40   | 44   | 39   | 39   |
| PPOP YoY%                       | 46   | 16   | 9    | 14   | 6    | 11    | 11   | 6    | 5    | 1    | -5   | -1   | 8    |
| Net profit YoY%                 | 49   | 18   | 3    | 15   | 5    | 15    | 9    | -2   | 0    | -2   | -9   | 2    | 10   |
| <b>5. Asset quality</b>         |      |      |      |      |      |       |      |      |      |      |      |      |      |
| Gross NPA ratio (%)             | 1.2  | 1.2  | 1.2  | 1.2  | 1.2  | 1.1   | 1.2  | 1.1  | 1.1  | 1.0  | 1.1  | 1.0  | 1.0  |
| NPA formation - ann. (bp loans) | 16   | 21   | 12   | 30   | 18   | 42    | 32   | 15   | 22   | 10   | 68   | 11   | 14   |
| Credit costs - ann. (bp loans)  | 7    | 20   | 13   | 13   | 14   | 12    | 19   | 29   | 13   | 11   | 19   | 17   | 10   |
| NPA coverage ratio (%)          | 127  | 125  | 128  | 125  | 129  | 135   | 129  | 137  | 137  | 139  | 130  | 131  | 130  |
| <b>6. Capital</b>               |      |      |      |      |      |       |      |      |      |      |      |      |      |
| CET1 (%) - fully loaded         | 14.1 | 14.1 | 14.6 | 14.7 | 14.8 | 15.2  | 15.1 | 15.2 | 15.1 | 15.1 | 15.0 | 14.8 | 14.6 |
| RWA growth (QoQ%)               | 5.2  | 0.3  | -1.1 | 2.7  | 2.1  | -12.5 | 4.2  | -0.1 | 1.0  | 3.2  | -0.3 | 1.4  | 3.1  |
| <b>7. Profitability</b>         |      |      |      |      |      |       |      |      |      |      |      |      |      |
| PPOP ROA (%)                    | 1.7  | 1.7  | 1.5  | 1.8  | 1.7  | 1.8   | 1.5  | 1.8  | 1.6  | 1.6  | 1.3  | 1.6  | 1.6  |
| ROA (%)                         | 1.4  | 1.4  | 1.3  | 1.5  | 1.4  | 1.5   | 1.3  | 1.4  | 1.3  | 1.4  | 1.1  | 1.3  | 1.3  |
| ROE (%)                         | 19.1 | 18.3 | 16.2 | 19.4 | 18.0 | 18.9  | 15.9 | 17.2 | 16.6 | 17.2 | 13.7 | 17.0 | 17.7 |

Source: BofA Global Research, company reports

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## Exhibit 14: Forward P/B (x)

DBS trading at 3.0x forward P/B, 5.3sd above long-term average

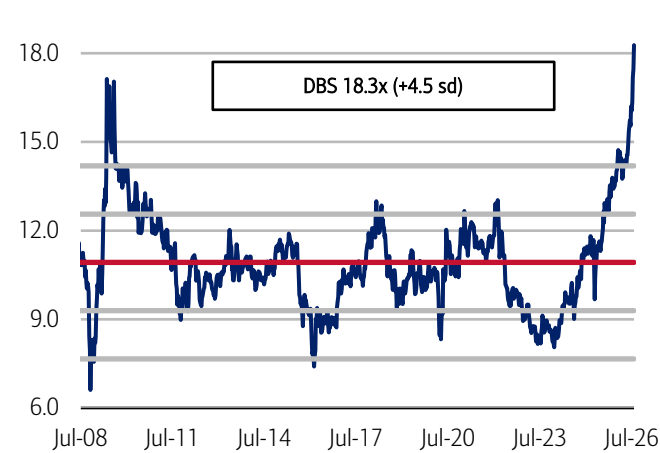


Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

## Exhibit 15: Forward P/E (x)

DBS trading at 18.3x forward P/E, 4.5sd above long-term average



Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

# Key takeaways from analyst call

## NIM

- 2Q26 NIM declined 2bp QoQ to 1.87%, driven by lower asset yields. The decline was broadly in line with expectations and offset by stronger loan growth.
- Deposits grew ~1.3% QoQ, with growth across both CASA and fixed deposits. Management noted deposit growth moderated versus the 1Q as customers increasingly allocated excess liquidity into investment products.
- NII is now guided to finish close to FY25 levels, supported by stable rates, HSD deposit growth, continued loan growth and hedge rollovers.

## Growth

- Gross loans grew ~3.5% QoQ, driven primarily by non-trade corporate lending, structured financing opportunities, renewables and TMT-related activity.
- Management remains constructive on loan growth, supported by corporate activity, intra-Asia trade flows and sustainable financing opportunities

## Non-II

- Fees rose 25.1% YoY – driven by wealth fees (+>40% YoY). DBS wealth saw S\$11 bn in net new money + a ~2.6% NAV increase, bringing total AUM to S\$516 bn.
- Management reiterated confidence in its medium-term wealth ambitions, supported by NNM, growing investment penetration and expansion across key Asian wealth markets.

## Cost efficiency

- Opex growth was well controlled at 3.4% YoY – despite ongoing investments in tech, AI capabilities and wealth relationship managers.
- CIR improved to 38.5%, with management maintaining low-40% medium-term guidance.

## Asset quality

- NPL ratio remained stable at 1.0%; while specific provisions of S\$113mn (16bps of gross loans) were well below expectations and historical cycle averages.

## Capital

- Management reiterated flexibility on capital deployment. ~S\$2.6bn of buyback capacity remaining and ~1.5 years to execute – which mgmt. indicated maybe difficult given current valuations
- Excess capital could ultimately be returned via special dividends if buybacks are not fully utilized, subject to Board approval.

## 2026 outlook

- Total income now guided to exceed 2025 levels, with NII close to 2025 levels + mid teens commercial book non-II growth. Guidance is based off 1) stable rates at current levels, 2) HSD deposit growth, 3) continued hedging
- CIR guidance maintained in low 40s
- SP guidance 17-20 bp in 2H

## 2Q26 results snapshot

### Exhibit 16: DBS 2Q26 results snapshot

Summary of quarterly financials

| (YE December   S\$ mn)         | 2Q25   | DBS<br>1Q26 | 2Q26A  | QoQ%  | YoY%  | 2Q26E  | A vs E | VA cons | A vs cons. |
|--------------------------------|--------|-------------|--------|-------|-------|--------|--------|---------|------------|
| Net interest income            | 3,648  | 3,494       | 3,581  | 2.5   | -1.8  | 3,532  | 1.4    | 3,563   | 0.5        |
| Non-interest income            | 2,084  | 2,454       | 2,512  | 2.4   | 20.5  | 2,350  | 6.9    | 2,358   | 6.5        |
| of which: Fee income           | 1,167  | 1,482       | 1,460  | -1.5  | 25.1  | 1,400  | 4.3    | 1,395   | 4.7        |
| Total income                   | 5,732  | 5,948       | 6,093  | 2.4   | 6.3   | 5,882  | 3.6    | 5,921   | 2.9        |
| Operating expenses             | -2,270 | -2,302      | -2,347 | 2.0   | 3.4   | -2,370 | -1.0   | -2,371  | -1.0       |
| Pre-provision operating profit | 3,462  | 3,646       | 3,746  | 2.7   | 8.2   | 3,512  | 6.7    | 3,550   | 5.5        |
| Loan loss provisions           | -142   | -190        | -113   | -40.5 | -20.4 | -207   | -45.5  | -224    | -49.7      |
| Operating profit               | 3,320  | 3,456       | 3,633  | 5.1   | 9.4   | 3,304  | 9.9    | 3,325   | 9.3        |
| Pre-tax profit                 | 3,379  | 3,512       | 3,704  | 5.5   | 9.6   | 3,369  | 9.9    | 3,386   | 9.4        |
| Net profit                     | 2,815  | 2,930       | 3,079  | 5.1   | 9.4   | 2,820  | 9.2    | 2,844   | 8.3        |
| Loans (S\$ bn)                 | 439.1  | 459.0       | 475.2  | 3.5   | 8.2   | 463.1  | 2.6    | 462.8   | 2.7        |
| Deposits (S\$ bn)              | 574.0  | 629.9       | 638.2  | 1.3   | 11.2  | 637.4  | 0.1    | 637.6   | 0.1        |
| <b>Key ratios (%)</b>          |        |             |        |       |       |        |        |         |            |
| NIM (calculated)               | 2.05   | 1.89        | 1.87   |       |       | 1.86   |        | 1.86    |            |
| Loan-deposit ratio             | 75     | 72          | 74     |       |       | 72     |        | 73      |            |
| Cost-income ratio              | 40     | 39          | 39     |       |       | 40     |        | 40      |            |
| P&L Provisions (bp of loans)   | 13     | 17          | 10     |       |       | 18     |        | 17      |            |
| ROE (%)                        | 16.6   | 16.9        | 17.7   |       |       | 16.3   |        | 16.4    |            |

Source: BofA Global Research, company reports, Visible Alpha

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### Exhibit 17: Summary of EPS estimates changes

We revise our EPS estimates for DBS by up to 8% through 2028E

|                         | New    |        |        | Old    |        |        | Change |       |       |
|-------------------------|--------|--------|--------|--------|--------|--------|--------|-------|-------|
|                         | 2026E  | 2027E  | 2028E  | 2026E  | 2027E  | 2028E  | 2026E  | 2027E | 2028E |
| EPS (S\$)               |        |        |        |        |        |        |        |       |       |
| DBS                     | 4.27   | 4.65   | 4.93   | 4.00   | 4.27   | 4.51   | 7%     | 9%    | 9%    |
| Loan growth (%)         |        |        |        |        |        |        |        |       |       |
| DBS                     | 8.4    | 5.5    | 5.2    | 4.6    | 4.6    | 4.6    | 3.9    | 0.9   | 0.6   |
| NIM (%) (calc.)         |        |        |        |        |        |        |        |       |       |
| DBS                     | 1.88   | 1.88   | 1.87   | 1.87   | 1.86   | 1.85   | 0.01   | 0.03  | 0.02  |
| NII (S\$ mn)            |        |        |        |        |        |        |        |       |       |
| DBS                     | 14,731 | 15,651 | 16,204 | 14,503 | 15,055 | 15,627 | 2%     | 4%    | 4%    |
| Credit costs (bp)       |        |        |        |        |        |        |        |       |       |
| DBS                     | 15     | 16     | 16     | 18     | 18     | 18     | -3     | -2    | -2    |
| Fee income (S\$ mn)     |        |        |        |        |        |        |        |       |       |
| DBS                     | 5,731  | 6,418  | 7,189  | 5,388  | 5,873  | 6,401  | 6%     | 9%    | 12%   |
| Oper. expenses (S\$ mn) |        |        |        |        |        |        |        |       |       |
| DBS                     | 9,612  | 9,997  | 10,399 | 9,617  | 10,002 | 10,404 | 0%     | 0%    | 0%    |
| Tax rate (%)            |        |        |        |        |        |        |        |       |       |
| DBS                     | 16.5%  | 16.0%  | 16.0%  | 16.5%  | 16.0%  | 16.0%  | 0.0%   | 0.0%  | 0.0%  |

Source: BofA Global Research estimates

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**Exhibit 18: PO methodology**

Summary of input variables for DBS valuation

|                         | <b>DBS</b>   |
|-------------------------|--------------|
| Risk free rate (%)      | 2.3          |
| Market risk premium (%) | 5.0          |
| Beta (x)                | 1.1          |
| Cost of equity (%)      | 7.8          |
| Medium term ROE (%)     | 18.5         |
| Growth (g) (%)          | 3.0          |
| ROE - 2026E (%)         | 17.3         |
| ROE - 2027E (%)         | 18.4         |
| ROE - 2028E (%)         | 18.5         |
| EPS - 2026E (\$)        | 4.27         |
| EPS - 2027E (\$)        | 4.65         |
| EPS - 2028E (\$)        | 4.93         |
| BVPS - 2026E (\$)       | 24.9         |
| BVPS - 2027E (\$)       | 25.7         |
| BVPS - 2028E (\$)       | 27.5         |
| Warranted P/E (x)       | 17.6         |
| 2026E                   | 18.8         |
| 2027E                   | 17.2         |
| Warranted P/B (x)       | 3.26         |
| 2026E                   | 3.21         |
| 2027E                   | 3.11         |
| <b>PO (\$)</b>          | <b>80.00</b> |

Source: BofA Global Research

BofA GLOBAL RESEARCH



## Price objective basis & risk

### DBS Group (DBSDF / DBSDY)

Our PO of S\$80.00 (US\$249.85) is derived using a Gordon growth model, which assumes a sustainable ROE of 18.5%, cost of equity of 7.8%, and a long-term growth rate of 3.0%. This implies a warranted PBV of 3.2x.

Downside risks to our PO are: protracted global economic slowdown and a significant deterioration in the asset quality environment. Upside risks to our PO are: better than expected macro recovery, faster-than-expected execution of digital strategy boosting operational efficiency, and more active capital management.

## Analyst Certification

I, Sukriti Bansal, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

### South Asia Financials Coverage Cluster

| Investment rating | Company                               | BofA Ticker | Bloomberg symbol | Analyst            |
|-------------------|---------------------------------------|-------------|------------------|--------------------|
| <b>BUY</b>        |                                       |             |                  |                    |
|                   | Aditya Birla Capital                  | XADIF       | ABCAP IN         | Pujita Pasumarthi  |
|                   | AU Small Finance Bank                 | XAIIF       | AUBANK IN        | Madhur Sharma      |
|                   | Bajaj Finance                         | XECVF       | BAF IN           | Pujita Pasumarthi  |
|                   | Bandhan Bank                          | XBNDF       | BANDHAN IN       | Madhur Sharma      |
|                   | Bangkok Bank                          | BKKLF       | BBL TB           | Sarachada Sornsong |
|                   | Bank Central Asia                     | PBCRF       | BBCA IJ          | Sukriti Bansal     |
|                   | Bank Mandiri                          | PPERF       | BMRI IJ          | Sukriti Bansal     |
|                   | Bank Negara Indonesia                 | PBNNF       | BBNI IJ          | Sukriti Bansal     |
|                   | Bank of Baroda                        | XZYRF       | BOB IN           | Madhur Sharma      |
|                   | Bank of the Philippine Islands        | BPHLF       | BPI PM           | Julian Roxas       |
|                   | BDO Unibank                           | BDOUF       | BDO PM           | Julian Roxas       |
|                   | Canara Bank                           | CNRKF       | CBK IN           | Madhur Sharma      |
|                   | CIMB Group                            | CIMDF       | CIMB MK          | Aiden Chionh       |
|                   | DBS Group                             | DBSDF       | DBS SP           | Sukriti Bansal     |
|                   | DBS Group                             | DBSDY       | DBSDY US         | Sukriti Bansal     |
|                   | Groww (Billionbrains Garage Ventures) | XBGXF       | GROWW IN         | Madhur Sharma      |
|                   | HDFC Bank                             | HDFBF       | HDFCB IN         | Madhur Sharma      |
|                   | HDFC Bank                             | HDB         | HDB US           | Madhur Sharma      |
|                   | ICICI Bank                            | XLORF       | ICICBC IN        | Madhur Sharma      |
|                   | ICICI Bank                            | IBN         | IBN US           | Madhur Sharma      |
|                   | JMT Network Services                  | XQXRF       | JMT TB           | Narumon Ekasamut   |
|                   | Kasikornbank                          | KPKCF       | KBANK TB         | Sarachada Sornsong |
|                   | Kotak Mahindra Bank                   | XWIUF       | KMB IN           | Madhur Sharma      |
|                   | Krungthai Bank                        | KGTLF       | KTB TB           | Sarachada Sornsong |
|                   | Krungthai Card                        | XXHFF       | KTC TB           | Sarachada Sornsong |
|                   | Metrobank                             | MTPOF       | MBT PM           | Julian Roxas       |
|                   | Muangthai Capital                     | XMCPF       | MTC TB           | Sarachada Sornsong |
|                   | Muthoot Finance                       | XMFLF       | MUTH IN          | Pujita Pasumarthi  |
|                   | Oversea-Chinese Banking Corp          | OVCHF       | OCBC SP          | Sukriti Bansal     |
|                   | Power Finance Corporation             | PWFEF       | POWF IN          | Pujita Pasumarthi  |
|                   | Public Bank                           | PBLOF       | PBK MK           | Aiden Chionh       |
|                   | Security Bank                         | SYBJF       | SECB PM          | Julian Roxas       |
|                   | Shriram Finance                       | SHTFF       | SHFL IN          | Pujita Pasumarthi  |
|                   | Srisawad Corporation                  | SRISF       | SAWAD TB         | Sarachada Sornsong |
|                   | Star Health Insurance                 | XRUF        | STARHEAL IN      | Pujita Pasumarthi  |
|                   | State Bank of India                   | XDWRF       | SBIN IN          | Madhur Sharma      |
|                   | Tidlor Holdings                       | XTXHF       | TIDLOR TB        | Sarachada Sornsong |
|                   | TMBThanachart Bank                    | XMKZF       | TTB TB           | Sarachada Sornsong |
|                   | United Overseas Bank                  | UOVEF       | UOB SP           | Sukriti Bansal     |
|                   | United Overseas Bank                  | UOVEY       | UOVEY US         | Sukriti Bansal     |



## South Asia Financials Coverage Cluster

| Investment rating   | Company                               | BofA Ticker | Bloomberg symbol | Analyst            |
|---------------------|---------------------------------------|-------------|------------------|--------------------|
| <b>NEUTRAL</b>      |                                       |             |                  |                    |
|                     | Aditya Birla Sun Life AMC             | XABSF       | ABSLAMC IN       | Pujita Pasumarthi  |
|                     | Axis Bank                             | XLIRF       | AXSB IN          | Madhur Sharma      |
|                     | Bajaj Housing Finance                 | XBACF       | BAJAJHFL IN      | Pujita Pasumarthi  |
|                     | HDB Financial Services                | XHFEF       | HDBFS IN         | Pujita Pasumarthi  |
|                     | HDFC Asset Management Company Limited | XJARF       | HDFCAMC IN       | Pujita Pasumarthi  |
|                     | IDFC First Bank                       | XQUFF       | IDFCFB IN        | Madhur Sharma      |
|                     | IPRU AMC                              | XMFCF       | ICICIAMC IN      | Pujita Pasumarthi  |
|                     | Mahindra Finance                      | XGDAF       | MMFS IN          | Pujita Pasumarthi  |
|                     | REC                                   | XULEF       | RECL IN          | Pujita Pasumarthi  |
|                     | SCB X PCL                             | SCBXF       | SCB TB           | Sarachada Sornsong |
|                     | Singapore Exchange                    | SPXCF       | SGX SP           | Sukriti Bansal     |
|                     | Union Bank Of India                   | UBOIF       | UNBK IN          | Madhur Sharma      |
|                     | Union Bank of the Philippines         | UBOPF       | UBP PM           | Julian Roxas       |
| <b>UNDERPERFORM</b> |                                       |             |                  |                    |
|                     | Bank Rakyat Indonesia                 | BKRKF       | BBRI IJ          | Sukriti Bansal     |
|                     | Federal Bank                          | XMTRF       | FB IN            | Madhur Sharma      |
|                     | Indusind Bank                         | IDUBF       | IIB IN           | Madhur Sharma      |
|                     | Maybank                               | MLYNF       | MAY MK           | Aiden Chionh       |
|                     | Punjab National Bank                  | XQGRF       | PNB IN           | Madhur Sharma      |
|                     | RBL Bank                              | XKITF       | RBK IN           | Madhur Sharma      |
|                     | SBI Cards                             | XLJGF       | SBICARD IN       | Pujita Pasumarthi  |
|                     | Tisco Financial Group                 | XTXGF       | TISCO TB         | Sarachada Sornsong |
|                     | UTI Asset Management Company          | XUTTF       | UTIAM IN         | Pujita Pasumarthi  |

**iQmethod<sup>SM</sup> Measures Definitions****Business Performance**

Return On Capital Employed

Return On Equity  
Operating Margin  
Earnings Growth  
Free Cash Flow

**Quality of Earnings**

Cash Realization Ratio  
Asset Replacement Ratio  
Tax Rate  
Net Debt-To-Equity Ratio  
Interest Cover

**Valuation Toolkit**

Price / Earnings Ratio  
Price / Book Value  
Dividend Yield  
Free Cash Flow Yield  
Enterprise Value / Sales

EV / EBITDA

**Numerator**

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income  
Operating Profit  
Expected 5 Year CAGR From Latest Actual  
Cash Flow From Operations – Total Capex

**Numerator**

Cash Flow From Operations  
Capex  
Tax Charge  
Net Debt = Total Debt – Cash & Equivalents  
EBIT

**Numerator**

Current Share Price  
Current Share Price  
Annualised Declared Cash Dividend  
Cash Flow From Operations – Total Capex  
EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities  
Enterprise Value

**Denominator**

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill  
Amortization  
Shareholders' Equity  
Sales  
N/A  
N/A

**Denominator**

Net Income  
Depreciation  
Pre-Tax Income  
Total Equity  
Interest Expense

**Denominator**

Diluted Earnings Per Share (Basis As Specified)  
Shareholders' Equity / Current Basic Shares  
Current Share Price  
Market Cap = Current Share Price × Current Basic Shares  
Sales

Basic EBIT + Depreciation + Amortization

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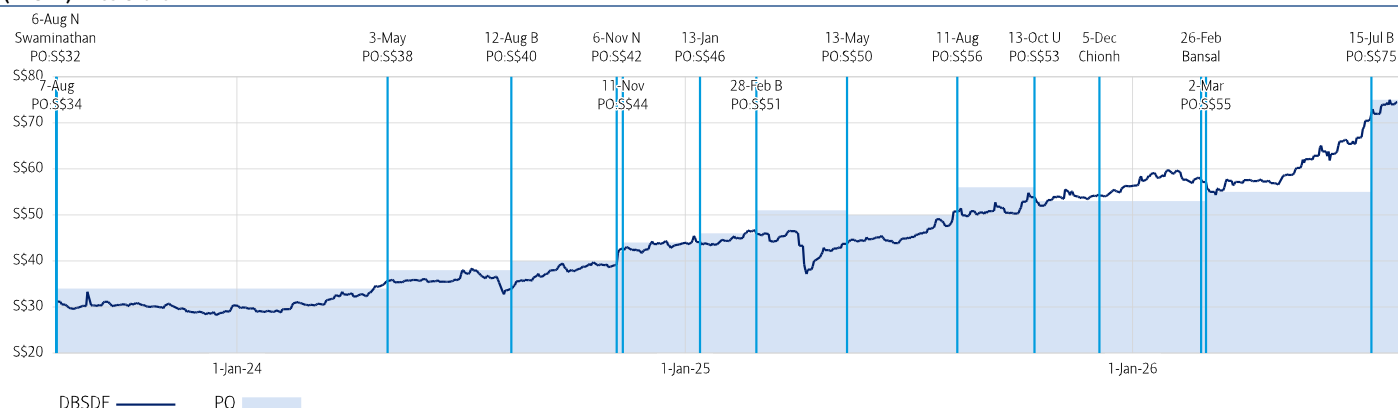
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# Disclosures

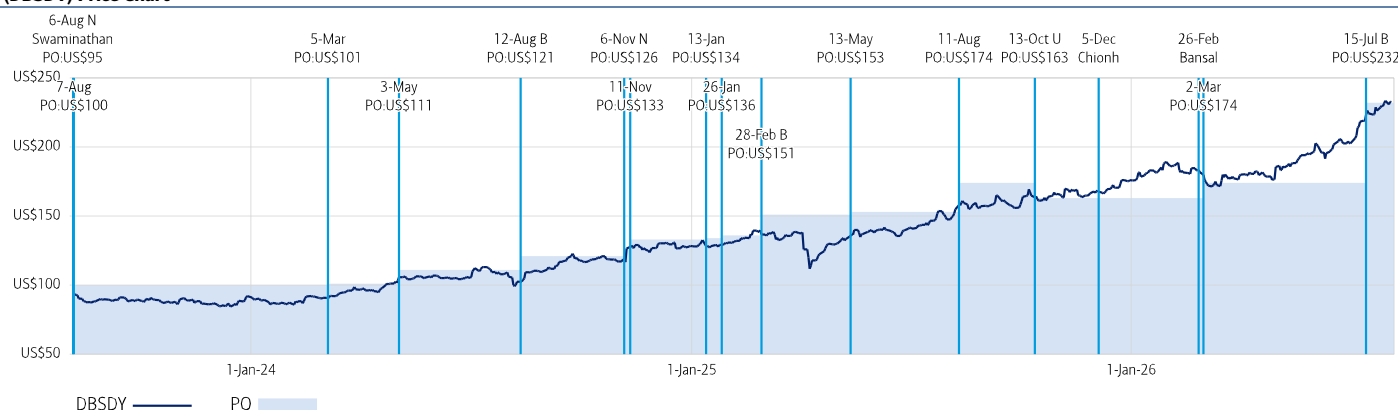
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### DBS (DBSDF) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

### DBS (DBSDY) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

### Equity Investment Rating Distribution: Banks Group (as of 30 Jun 2026)

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 119   | 54.84%  | Buy                                      | 104   | 87.39%  |
| Hold              | 57    | 26.27%  | Hold                                     | 44    | 77.19%  |
| Sell              | 41    | 18.89%  | Sell                                     | 32    | 78.05%  |

### Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 1987  | 56.11%  | Buy                                      | 1190  | 59.89%  |
| Hold              | 797   | 22.51%  | Hold                                     | 496   | 62.23%  |
| Sell              | 757   | 21.38%  | Sell                                     | 391   | 51.65%  |

<sup>R1</sup> Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

**FUNDAMENTAL EQUITY OPINION KEY:** Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. **VOLATILITY RISK RATINGS**, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. **INVESTMENT RATINGS** reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

| Investment rating | Total return expectation (within 12-month period of date of initial rating) | Ratings dispersion guidelines for coverage cluster <sup>R2</sup> |
|-------------------|-----------------------------------------------------------------------------|------------------------------------------------------------------|
| Buy               | ≥ 10%                                                                       | ≤ 70%                                                            |
| Neutral           | ≥ 0%                                                                        | ≤ 30%                                                            |
| Underperform      | N/A                                                                         | ≥ 20%                                                            |

<sup>R2</sup>Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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